



VA Fixed-Rate and Adjustable-Rate Mortgage

PRIMARY RESIDENCE – PURCHASE & CASH-OUT REFINANCE¹

Property Type	Maximum LTV	Maximum Loan Amount ²	Minimum Credit Score ³	Underwriting Engine & Required Response
1 to 4-Unit PUD Condo Manufactured Home (double-wide)	100%	Conforming 1-unit Loan Limit \$4,000,000	580 600	DU – Approve or LPA – Accept Refer responses will be manually underwritten

1. Maximum cash-in-hand: Follow AUS.

2. Refer to the [Loan Amounts](#) section for additional information regarding borrowers with or without full entitlement.

3. Loans with no Credit Score are allowed following the VA Lender's Handbook. Refer to the [Underwriting](#) section.

PROGRAM SUMMARY

The Veterans Administration loan program enables veterans and active duty personnel to purchase or refinance a home with favorable loan terms. VA offers fixed and adjustable-rate mortgages that can accommodate no down-payment on many purchase transactions. Refer to the *VA Interest Rate Reduction Refinance Loan (IRRRL)*, [Doc. #5821](#) for borrowers who would like to refinance an existing VA loan into a fixed-rate loan, a lower interest rate or shorter loan term without taking additional equity out of the property. For all required guidelines and updates refer to the manuals through the [VA website](#).

PRODUCTS OFFERED

Product	Loan Term	Jumbo Allowed	DO/DU ARM Plan	ARM Disclosure
VA 10-Year Fixed	10 years	No	n/a	n/a
VA 10-Year Fixed (Jumbo)	10 years	Yes ⁴	n/a	n/a
VA 15-Year Fixed	15 years	No	n/a	n/a
VA 15-Year Fixed (Jumbo)	15 years	Yes ⁴	n/a	n/a
VA 20-Year Fixed	20 years	No	n/a	n/a
VA 20-Year Fixed (Jumbo)	20 years	Yes ⁴	n/a	n/a
VA 25-Year Fixed	25 years	No	n/a	n/a
VA 25-Year Fixed (Jumbo)	25 years	Yes ⁴	n/a	n/a
VA 30-Year Fixed	30 years	No	n/a	n/a
VA 30-Year Fixed (Jumbo)	30 years	Yes ⁴	n/a	n/a
VA 5/1 ARM ⁵	30 years	Yes ⁴	VAARM	Doc. #9402

4. The fixed-rate VA jumbo products have minimum loan amounts set to **the conforming 1-unit loan limit plus \$1**. The VA 5/1 ARM product accepts both conforming and jumbo loan amounts.

5. Manufactured homes are not eligible for the ARM product. Fixed-rate products only.

ELIGIBLE BORROWERS

Non-veterans are not eligible borrowers except as the spouse of an eligible veteran. Refer to the [VA Website](#) for detailed guidelines.

ELIGIBLE PROPERTY TYPES

- 1 to 4-unit properties



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- Condominiums (refer to *Chapter 16 of VA Pamphlet 26-7*)
- PUDs
- Manufactured Homes
 - Fixed-rate products only; not available with ARM products
 - Multiple-width homes only
 - No new construction; only homes already on a permanent foundation and properly converted to and taxed as real property

INELIGIBLE PROPERTY TYPES

- Single-wide and new construction Manufactured home
- Cooperative
- Working farm, ranch or orchard

LOAN AMOUNTS

Property Type	Maximum Loan Amount
All	\$4,000,000

BORROWERS WITH FULL ENTITLEMENT

Refer to VA [Circular 26-19-23](#) and [Circular 26-19-30](#) for specific requirements. Essentially, for loans greater than \$144,000, the maximum guaranty amount as of January 1, 2020 will be 25% of the requested loan amount without regard to the Freddie Mac conforming loan limit (CLL).

BORROWERS WITHOUT FULL ENTITLEMENT

Refer to VA [Circular 26-19-23](#) and [Circular 26-19-30](#) for specific requirements. Essentially, for loans greater than \$144,000, the maximum guaranty amount will be the lesser of: 1) 25% of the requested loan amount, or 2) 25% of the Freddie Mac one-unit CLL minus the amount of any unrestored entitlement previously used by the veteran. Loan amounts requested that do not include a 25% VA guaranty will require additional down payment or equity from the borrower, and thus will not be eligible for maximum financing. Refer to the [VA Loan Limits](#) webpage for annual county-specific guaranty limits.

CASH-OUT REFINANCE

Maximum Cash-In-Hand: Follow AUS

SELLER CONTRIBUTIONS

All closing costs and discount points may be paid by the seller, regardless of the amount. All other seller contributions are limited to 4% of the lesser of the purchase price or appraised value.

TEMPORARY BUYDOWNS

Not eligible

CREDIT ALERT INTERACTIVE VOICE RESPONSE SYSTEM (CAIVRS)

All borrowers must be screened using HUD's Credit Alert Interactive Voice Response System (CAIVRS). Generally, any lien must be paid-off or existing delinquent account brought current.



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APPROVED FHA LENDERS

If your company is FHA Approved and you have access to the [FHA Connection](#), obtain CAIVRS there.

NON-FHA APPROVED LENDERS

Non-FHA participating lenders who are currently VA Approved with a VA Agent Identification Number may apply for access from HUD's [CAIVRS FAQ](#) page. If your company has not been issued a VA Agent Identification Number, complete the *VA CAIVRS Authorization Form*, [Doc. #9734](#) to order CAIVRS.

POINTS

The veteran can pay points.

QUALIFYING RATE

Note rate

QUALIFYING RATIOS

Follow AUS and Flagstar's VA Underwriting Guidelines

UNDERWRITING

- All loan applications will be underwritten in accordance with VA and Flagstar current guidelines. Refer to Flagstar's [VA Underwriting Guidelines](#).
- Non-traditional, alternative credit and no credit score loans are eligible and will follow the [VA Lender's Handbook – VA Pamphlet 26-7](#). A credit score of 999 should be entered for those borrowers.
- Refinance transactions require an existing lien. If no lien exists, VA financing is not permitted.
- The note date for all refinance loans must be on after the later of:
 - The date that is 210 days after the date on which the first monthly payment was made on the mortgage being refinanced, and
 - The date on which six full monthly payments have been made on the mortgage being refinanced.

For underwriting questions and support, email [Government Underwriting Support](#) or call (866) 945-9872.

RESIDUAL INCOME

Residual income is the amount of net income remaining to cover family living expenses (food, clothing, health care, etc.) after deducting all debts and obligations, including monthly federal, state, and local income taxes, Social Security and Medicare taxes, and monthly housing expenses. The following tables display the minimum residual income required to qualify for a VA-guaranteed loan:

Family Size	Residual Income by Region for Loan Amounts \$79,999 and less				Residual Income by Region for Loan Amounts \$80,000 and greater			
	Northeast	Midwest	South	West	Northeast	Midwest	South	West
1	\$390	\$382	\$382	\$425	\$450	\$441	\$441	\$491
2	\$654	\$641	\$641	\$713	\$755	\$738	\$738	\$823
3	\$788	\$772	\$772	\$859	\$909	\$889	\$889	\$990
4	\$888	\$868	\$868	\$967	\$1,025	\$1,003	\$1,003	\$1,117
5	\$921	\$902	\$902	\$1,004	\$1,062	\$1,039	\$1,039	\$1,158



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Family Size	Residual Income by Region for Loan Amounts \$79,999 and less				Residual Income by Region for Loan Amounts \$80,000 and greater			
	Northeast	Midwest	South	West	Northeast	Midwest	South	West
> 5	Add \$75 for each additional member up to a family of seven.				Add \$80 for each additional member up to a family of seven.			

VA Regional State Breakdown				
Northeast	Connecticut Maine Massachusetts	New Hampshire New Jersey	New York Pennsylvania	Rhode Island Vermont
Midwest	Illinois Indiana Iowa	Kansas Michigan Minnesota	Missouri Nebraska North Dakota	Ohio South Dakota Wisconsin
South	Alabama Arkansas Delaware District of Columbia Florida	Georgia Kentucky Louisiana Maryland Mississippi	North Carolina Oklahoma South Carolina Tennessee	Texas Virginia West Virginia U.S. Virgin Islands
West	Alaska Arizona California Colorado	Hawaii Idaho Montana	Nevada New Mexico Oregon	Utah Washington Wyoming

VA ALLOWABLE FEES AND CHARGES

Refer to *Chapter 8 of VA Pamphlet 26-7* for closing costs that are allowed by VA to be paid by the borrower and those that must be paid by the seller or lender. For information regarding Flagstar's administrative fee, please refer to *Comprehensive List of Fees – Broker, Doc. #4618* or *Comprehensive List of Fees – Correspondent, Doc. #4619*.

VA FUNDING FEE

Most veterans pay a funding fee. It is a percentage of the base loan amount and may be financed or paid by the borrower or seller. The funding fee tables may be found on the VA website.

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	5/1 ARM Initial: 1% up/down; Periodic: 1% up/down; Lifetime: 5% up
Margin	See Price Indication Sheet
Index	1-Year Constant Maturity Treasury (CMT)
Interest Rate Floor	The interest rate floor is equal to the Margin
	5/1 ARM: Initial interest rate change date will occur within 60 to 66 months, depending on the first payment date. See the table below. Interest rate will adjust every 12 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None



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Initial Interest Rate Change Dates ⁶	
First Payment Date	Initial Change Date ⁷
Jan. 1, Feb. 1, Mar. 1	April 1
Apr. 1, May 1, Jun. 1	July 1
Jul. 1, Aug. 1, Sep. 1	October 1
Oct. 1, Nov. 1, Dec. 1	January 1

6. The initial interest rate change dates are also published on the daily price indication sheet.

7. The change date is always the first day of the month.

STATE ELIGIBILITY

Available in the following states with restrictions. States not listed are available without restrictions.

State	Restriction
Puerto Rico	Not eligible
Texas	Texas refinance loans that must close under Section 50(a)(6) requirements are not eligible; Texas refinance loans secured by 1 to 4-Unit properties are eligible up to 100% LTV as long as the new loan is paying off <u>only</u> non-Section 50(a)(6) mortgage debt

CLOSING DOCUMENTATION

Closing docs may be ordered through Flagstar's Web-Based Closing Docs (WBCD) service available on Loantrac. Call (866) 945-9872 for questions pertaining to drawing Web-Based Closing Docs.